

My initial post made an intentional distinction between active and passive investment and sought to question if and why a business should choose to actively invest in AI.

Is AI Ubiquitous?

We can argue that AI is found embedded in many aspects of our lives. Examples in discussions included accounting, distribution centres and cyber security. As such, it can be argued that AI is indeed ubiquitous.

Is It Important For Companies To Invest In AI?

The peer responses and other decision topics were well considered, but suffered from two clear failings. They assumed AI to be the most effective and efficient way to solve the majority of business problems. They focused only on large businesses. In contrast, my initial post focused on smaller businesses where the impact and suitability of AI is more nuanced (Schwaeke et al., 2025).

Peer response examples of how AI could benefit smaller businesses included VAT returns, supplier invoices, forecasting prices, managing rotas and social media questions, all of which support the claim that AI is already passively utilized (Moravec et al., 2024) and thus no active investment is required for business users to benefit from AI.

Arguments such as AI-powered translations or preventing food wastage, suffered from the assumption that poor translations or buying a few too many potatoes would measurably cost the business more than the time investment, negative impact on brand identity (Kirk and Givi, 2025) and legal implications (Schwaeke et al., 2025) AI would introduce.

Possibly the most compelling argument for AI was that it could “reclaim lost time”, a theory supported by Abidemi (2024).

Interestingly, most responses acknowledged that handcraftsmanship and authenticity have their place in adding value to a business.

A Formula For ROI

With these facts established I propose a formula that businesses can use to decide whether and how, to invest in AI.

$$\text{formula ROI} = \frac{T_i(1-J) + C_t + B_d(T_s + M_s + E_p + C_s) - (T_i(1-J) + C_t + B_d)}{T_i(1-J) + C_t + B_d}$$

Where:

T_s T_s = Time saved

M_s M_s = Money saved

EpE_pEp = Potential increase in earnings

CsC_sCs = Customer service improvements

TiT_iT_i = Time invested

CtC_tCt = Cost of tools/training

BdB_dBd = Brand damage risk

J = enjoyment factor

Examples:

$J=0J = 0J=0 \rightarrow$ hated the learning

$J=0.5J = 0.5J=0.5 \rightarrow$ enjoyable enough that cost felt halved

$J=1J = 1J=1 \rightarrow$ intrinsically rewarding; time cost disappears psychologically

References

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